

almost halving for the investor, which in turn means significantly higher returns.

Finally, SEBI has created a new regulatory construct which forces intermediaries to declare whether they are a fund distributor, and will therefore have their interests aligned with the fund manufacturers, or an ‘adviser’ whose fees will be paid by the ultimate investor and whose interests are fully aligned with the investor. The combination of hiring a good adviser and then purchasing sensibly priced funds directly from the fund houses gives investors a higher chance of generating healthy returns whilst keeping risk under control.

Over the next decade, the vestiges of the old system will give way completely to the new order and the investor will be the biggest beneficiary.

The three key takeaways from this chapter:

1. Fund expenses are often ignored but are deceptively important. Given their compounding over long periods, they have the ability to drag down investor returns drastically. For example, Rs 1 lakh invested for forty years and assumed to grow at 15 per cent per annum becomes Rs 1.11 crore and Rs 2.58 crore at annual expenses of 2.5 per cent and 0.1 per cent.
2. Unlike earlier years, the alpha (or outperformance) in large-cap equity mutual funds is now negligible. In this scenario, it makes much more sense to invest in passive funds or ETFs. Already, in the US, active funds have started seeing massive outflows, which are becoming inflows for passive funds.
3. A broker suggesting funds to an investor leads to a conflict of interest. Driven by SEBI, the country has already moved on to an ‘only advisory’ or ‘only broking’ model. Thus, an investor is better off paying a certain percentage as advisory and investing in the most inexpensive funds (as opposed to the traditional practice of using an intermediary who is remunerated by the fund manufacturers).